UTILITIES · UTILITIES - INDEPENDENT POWER PRODUCERS

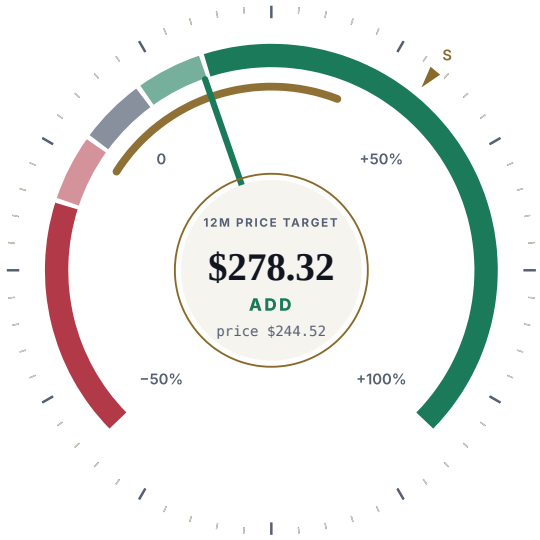
Constellation Energy Corporation CEG

STANDARD (FORWARD MULTIPLES + DCF)

ADD 12-month horizon · confidence **High**

12M PRICE TARGET	EXPECTED TOTAL RETURN
$278.32	**+14%**
bear $226.17 · bull $332.94	price +14% + yield 0.6%

FAIR VALUE TODAY	STREET CONSENSUS
$244.54	**$357.81**
$199.69 – $292.06	+46%



Price $244.52 · Ke 8.64% · discount rate 8.17% · data: Yahoo snapshot as of 2026-07-08

01 INVESTMENT THESIS

We rate **Constellation Energy Corporation (CEG) ADD** with a 12-month price target of **$278.32** — a +14% move from $244.52 and a +14% total return including the dividend. The shares look undervalued on 3 lenses: Discounted cash flow (FCFF), Forward P/E, Forward EV/EBITDA. Their weighted fair value today is **$244.54**, rolled forward at the 8.6% cost of equity.

Constellation Energy Corporation generated $25.53bn of revenue at a 16% EBIT margin in the latest fiscal year, having compounded the top line at 1.5% over the historical window. Market capitalisation stands at $87.32bn with $5.35bn of net debt.

Consensus EPS of $13.58 gives an NTM figure of $13.58, i.e. 18.0x at today's price.

For context, the Street's mean 12-month target is $357.81 (+46%). Our model-only target of $264.30 sits 26% below it; the published target gives the consensus a 15% weight, a deliberate hedge against model error that we disclose rather than hide.

A reverse DCF shows the market is discounting year-one revenue growth of 38.1% against our 39.5% base — the price demands less than we model.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert.

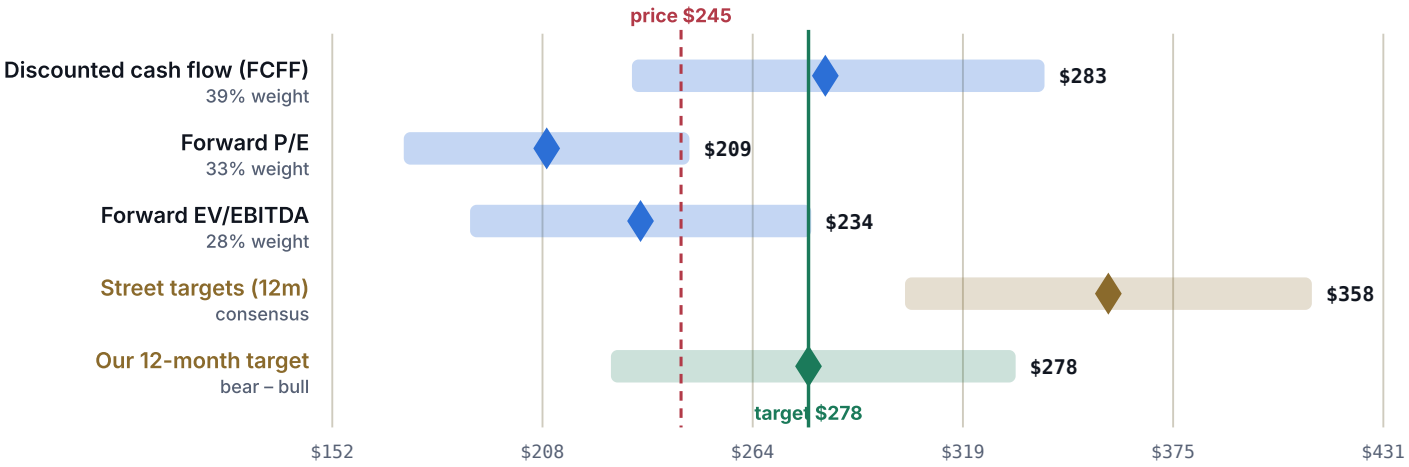
KEY DATA

Market cap	**$87.32bn**
Enterprise value	**$92.67bn**

Net debt	**$5.35bn**
Net debt / EBITDA	**0.9x**
EV / EBITDA (LTM)	**15.6x**
P/E (LTM)	**33.1x**
FCF yield (LTM)	**1.9%**
Dividend yield	**0.6%**
Beta	**1.12**
Diluted shares	**357mn**

02 VALUATION SUMMARY — WHAT EACH LENS SAYS

EXHIBIT 1 · VALUE PER SHARE BY LENS VS. PRICE, STREET AND OUR 12-MONTH TARGET



LENS	TYPE	FAIR VALUE TODAY	RANGE	WEIGHT	STATUS
Discounted cash flow (FCFF)	INTRINSIC	$282.76	$231.76 – $340.63	39%	USED
Forward P/E	RELATIVE	$208.90	$171.30 – $246.50	33%	USED
Forward EV/EBITDA	RELATIVE	$233.80	$188.85 – $278.75	28%	USED
Blended fair value (today)		**$244.54**	**$199.69 – $292.06**		
× (1 + Ke) − dividends → model 12-month target		$264.30			
Street mean target (weight 15%)		$357.81			
Published 12-month price target		**$278.32**	**$226.17 – $332.94**		**+14%**

Confidence: High

- 3 independent lenses agree on a valuation
- lens dispersion is tight (CV 13%)

Guardrails & disclosures

> Target anchored 15% to the Street consensus ($357.81); model-only target $264.30.

03 THE LENSES IN DETAIL

Each lens is an independent answer to *what is a share worth?* Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business. Every input is shown so any number can be challenged.

Discounted cash flow (FCFF) INTRINSIC

$282.76

$231.76 – $340.63 · 39% weight

WACC	8.17%
Terminal growth	2.50%
PV of explicit FCFF	$43.89bn
PV of terminal value	$62.77bn (59% of EV)
Enterprise value	$106.66bn
− Net debt & minorities	$5.69bn
Equity value	$100.97bn
Value per share	$282.76

10-year FCFF DCF: consensus for the near years, geometric growth decay, mean-reverting margins, terminal reinvestment tied to growth/ROIC. Range = bear/bull scenarios.

Forward P/E RELATIVE

$208.90

$171.30 – $246.50 · 33% weight

Consensus EPS	$13.58 (FY2026)
Forward EPS	$13.58
Anchor P/E	19.0x — Power producers reference 19.0x (no usable peer set)
Growth adjustment	×0.81 (4.1% durable growth vs 9.0% sector)
Earnings-durability factor	×1.00
Leverage adjustment	×1.00
Target P/E	15.4x
Value per share	$208.90

Target multiple x NTM EPS. The multiple is anchored on peers/sector, then scaled for durable growth, leverage and how far forward earnings sit above what the business has historically earned.

Forward EV/EBITDA RELATIVE

$233.80

$188.85 – $278.75 · 28% weight

NTM EBITDA (from consensus earnings)	$10.01bn
Anchor EV/EBITDA	11.0x — Power producers reference 11.0x (no usable peer set)
Growth adjustment	×0.81
Earnings-durability factor	×1.00
Target EV/EBITDA	8.9x
Enterprise value	$89.18bn
− Net debt	$5.35bn
Value per share	$233.80

Capital-structure-neutral cross-check to forward P/E: it values the operating business and then bridges to equity through net debt.

04 EARNINGS QUALITY & CYCLE

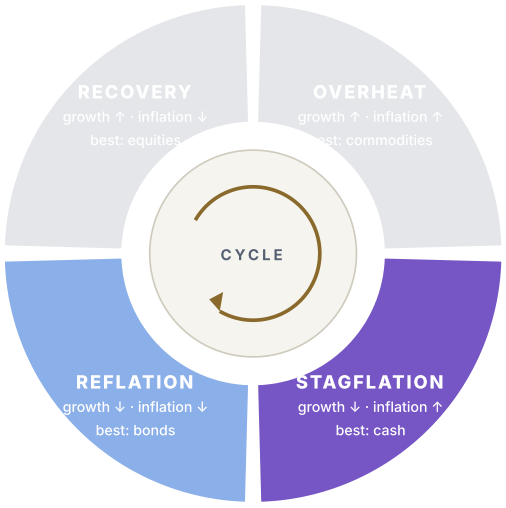
Trailing EPS	$7.39
Consensus EPS FY2026	$13.58

Consensus EPS FY2027	–
NTM EPS used	**$13.58**
Through-cycle (historical average) EPS	$5.95
Forward ÷ through-cycle	2.3x
Durable EPS growth used	4.1%
Earnings-durability factor on multiples	×1.00
Basis	consensus (single year)

No cyclicality flags. Revenue and margins show no peak-to-trough pattern in the reported history, so forward earnings are capitalised at the full target multiple.

Growth source: historical revenue CAGR (capped at 15%). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

05 WHERE IT SITS ON THE INVESTMENT CLOCK



Stagflation and **Reflation** are the phases in which Utilities has historically led, on the classic Merrill Lynch Investment Clock sector map (growth × inflation, rotating clockwise: Recovery → Overheat → Stagflation → Reflation).

Illustrative sector affinity, not a call on where the economy is today: this tool reads company fundamentals and consensus, not macro data. Use it to ask whether the thesis above needs the cycle to cooperate.

06 FINANCIAL SUMMARY & VALUATION

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$23.57bn	$25.53bn	$35.62bn	$41.49bn	$46.68bn	$51.21bn

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
growth	-5.4%	+8.3%	+39.5%	+16.5%	+12.5%	+9.7%
EBITDA	$7.03bn	$5.96bn	$10.09bn	$11.59bn	$12.85bn	$13.90bn
EBIT margin	20.6%	16.4%	20.5%	20.1%	19.7%	19.3%
EPS	$11.90	$7.39	$13.58	$15.66	$17.37	$18.75
FCFF/share	($15.99)	$4.93	$12.54	$14.49	$16.12	$17.48
EV/EBITDA	13.2x	15.6x	9.2x	8.0x	7.2x	6.7x
P/E	20.5x	33.1x	18.0x	15.6x	14.1x	13.0x
FCF yield	-6.2%	1.9%	4.8%	5.6%	6.2%	6.7%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

07 FINANCIAL MODEL — HISTORICALS & PROJECTED P&L

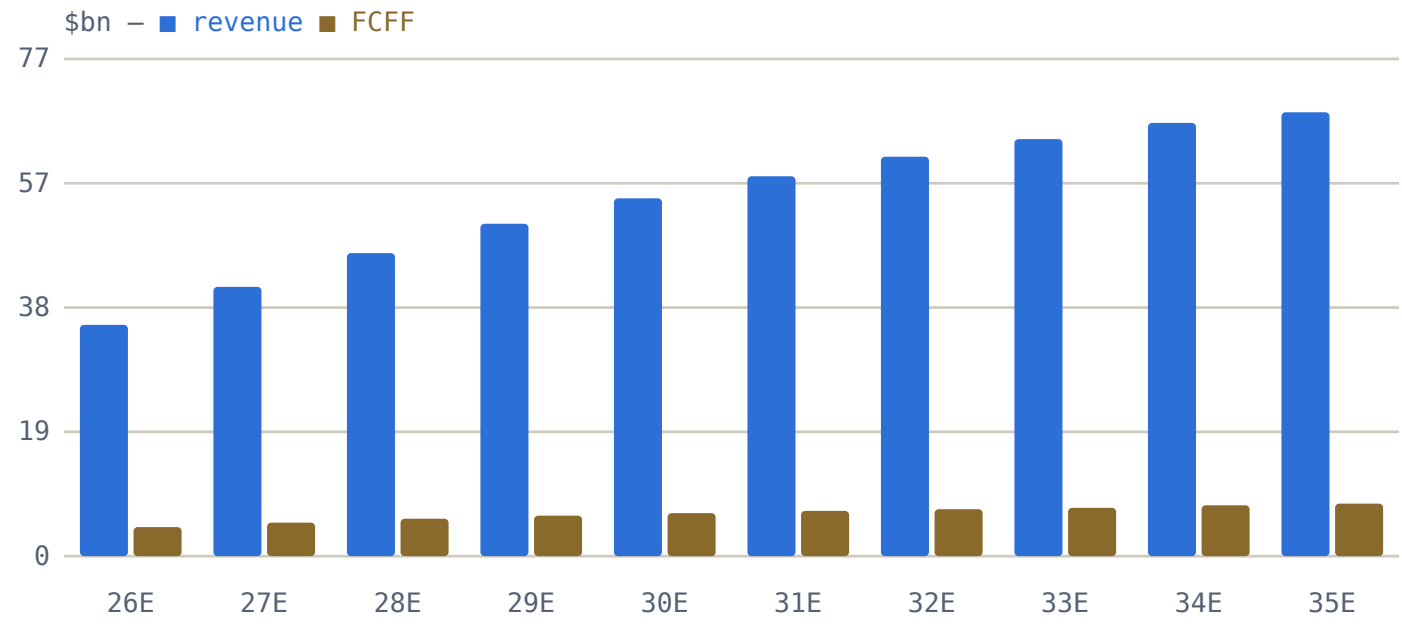
FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	$24.44bn	—	($408mn)	-1.7%	($160mn)	($0.49)
2023A	$24.92bn	+2.0%	$2.39bn	9.6%	$1.62bn	$5.01
2024A	$23.57bn	-5.4%	$4.85bn	20.6%	$3.75bn	$11.90
2025A	$25.53bn	+8.3%	$4.20bn	16.4%	$2.32bn	$7.39
2026E	$35.62bn A	+39.5%	$7.31bn	20.5%	$4.85bn	$13.58 A
2027E	$41.49bn	+16.5%	$8.35bn	20.1%	$5.59bn	$15.66
2028E	$46.68bn	+12.5%	$9.21bn	19.7%	$6.20bn	$17.37
2029E	$51.21bn	+9.7%	$9.90bn	19.3%	$6.69bn	$18.75
2030E	$55.12bn	+7.6%	$10.44bn	18.9%	$7.08bn	$19.82
2031E	$58.54bn	+6.2%	$10.85bn	18.5%	$7.37bn	$20.64
2032E	$61.55bn	+5.1%	$11.16bn	18.1%	$7.60bn	$21.27
2033E	$64.26bn	+4.4%	$11.40bn	17.7%	$7.76bn	$21.74
2034E	$66.74bn	+3.9%	$11.84bn	17.7%	$8.08bn	$22.62
2035E	$68.40bn	+2.5%	$12.13bn	17.7%	$8.29bn	$23.21

“A” marks figures taken directly from analyst consensus; other forecast rows are the DCF base case with flat interest and the normalised tax rate.

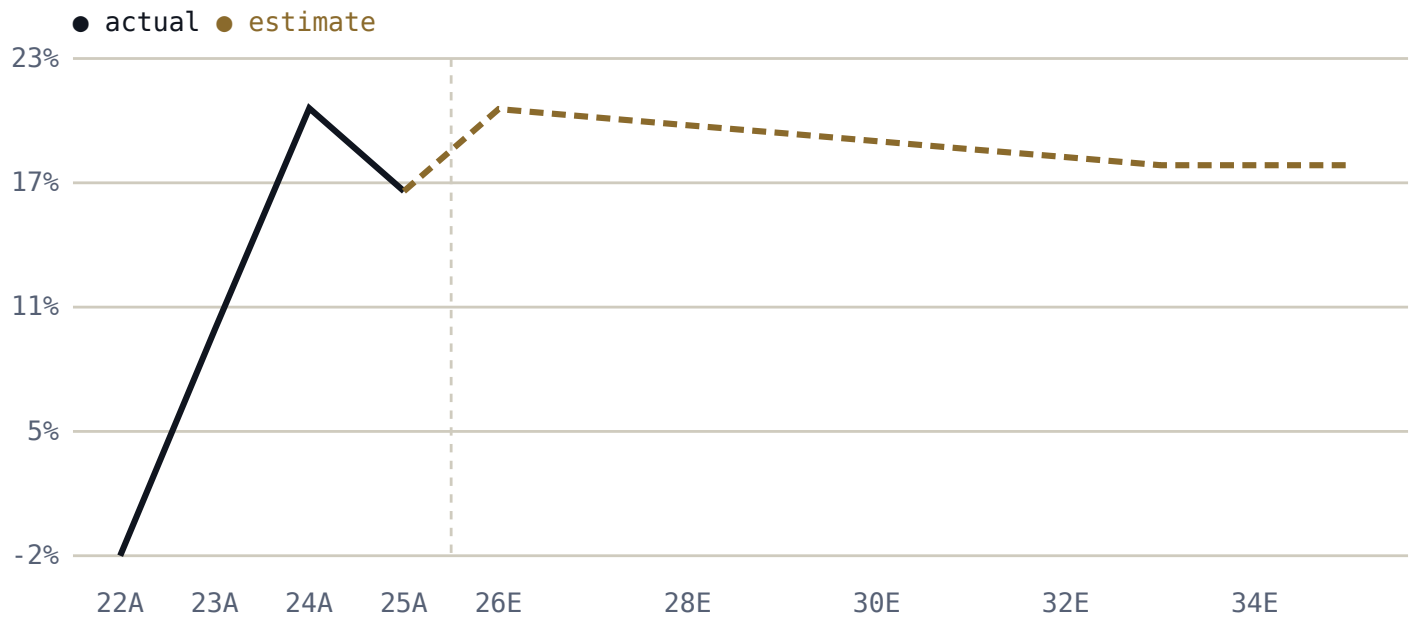
08 DCF CROSS-CHECK — DRIVERS & SENSITIVITY

DRIVER	PATH	WHY
Revenue growth	39.5% → 2.5% over 10y	Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 22.0% to the 2.5% terminal rate as revenue compounds toward $68bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	16.4% → 20.5% → 17.7% (expands)	Reported margin is 16.4%; year-1 margin is 20.5%. This is a compounder, so we revert only 30% of the way toward the through-cycle average of 11.2%, landing at 17.7% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	9.8% → 8.6% of sales	Starts at the historical capex intensity (9.8%) against D&A of 7.8%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.
Working capital	0.4% of Δrevenue	Incremental working capital absorbs 0.4% of each year's revenue increase (historical median) — a cash drag as the business scales.
Tax rate	28.7%	Normalised to the trailing effective rate of 28.7%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE

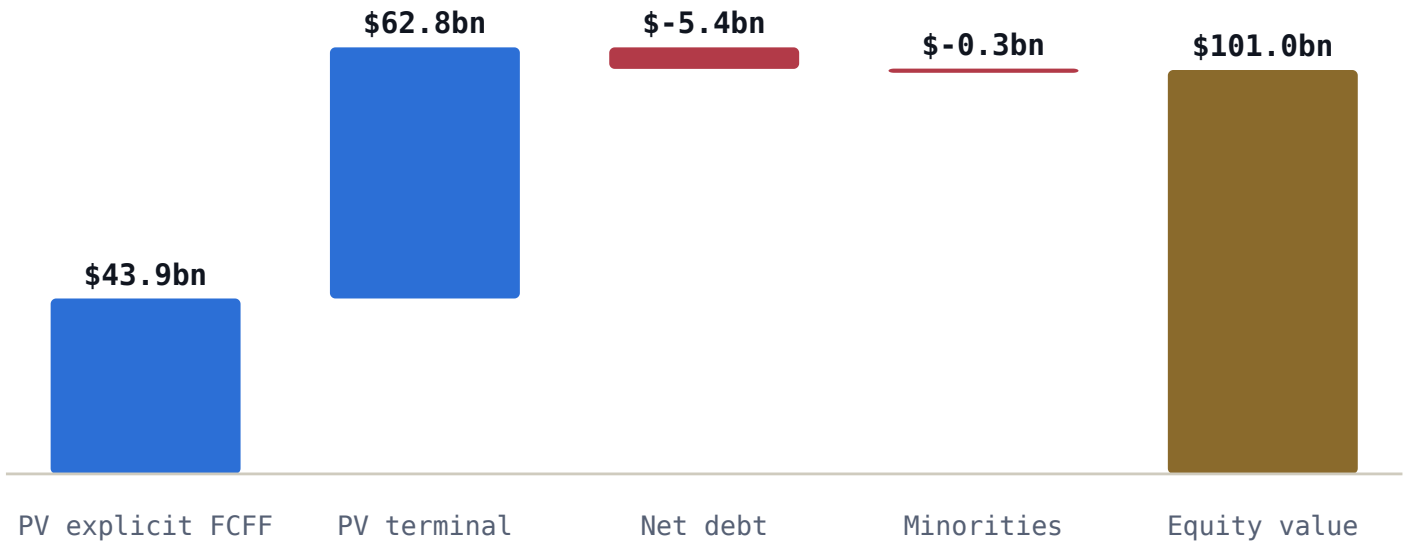


EXHIBIT · DCF VALUE PER SHARE, WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
6.7%	$350	$367	$389	$416	$452
7.4%	$302	$314	$328	$345	$366
8.2%	$266	$274	**$283**	$294	$307
8.9%	$237	$242	$248	$256	$264
9.7%	$213	$217	$221	$226	$232

Shaded against the current price: green = above, red = below. Outlined cell = base case.

The business earns **16.3%** on capital versus a **8.2%** cost of capital — a positive spread of **809bps**, so growth creates value. Self-funding growth of 2.5% (reinvestment 15% × ROIC) frames how much of the terminal growth is organically financed rather than assumed.

Model diagnostics

Terminal EV/EBITDA vs today	7.6x implied vs 15.1x current	OK
Terminal ROIC vs WACC	16.3% vs 8.2%	OK

09 RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	3.4x	1.9x	0.8x	0.9x
EBIT / interest	-1.6x	5.5x	9.6x	8.2x
ROE	-1.5%	14.9%	28.5%	16.0%
ROIC (NOPAT/IC)	-1.8%	8.6%	18.6%	15.1%
FCF conversion (FCFF/NOPAT)	1848%	-423%	-181%	66%
Capex / D&A	0.91x	1.29x	1.28x	1.52x

10 FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $39.66/sh (14%); TV = 59% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	MEDIUM	Revenue growth volatility σ = 5.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	HIGH	−100bps EBIT margin ≈ −$18.99/sh; margin σ = 8.4%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net debt/EBITDA = 0.9x; EBIT/interest = 8.2x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Micro	**Competitive erosion**	MEDIUM	`ROIC–WACC spread = 809bps`	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	MEDIUM	`Implied y1 growth 38.1% vs base 39.5%`	Market expects LESS than our base — upside on delivery. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	MEDIUM	`Capex/D&A = 1.25x; capex = 9.8% of sales`	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	HIGH	`EBIT margin σ = 8.4% (range -2%–21%)`	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

11 CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$39.66/share (14%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$10.04/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$18.99/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 39.5% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

12 KEY RISKS

- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (Yahoo snapshot as of 2026-07-08). CEG was classified as **Standard (forward multiples + DCF)**. The 12-month price target triangulates several lenses — target multiples on consensus forward earnings (peer/sector-anchored and adjusted for durable growth, leverage and earnings durability), a 10-year DCF with decaying growth and mean-reverting margins, and sector-specific models — weights them by profile, applies plausibility guardrails, rolls the result forward at the cost of equity net of dividends, and lightly anchors it to Street consensus when available. Reference multiples are long-run developed-market medians; live peer medians replace them when fetched. Forward numbers come from analyst consensus

where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.